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Naver Corp | Asia Pacific

2Q26: OP miss, more details on AI Factory

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	↓ Modest shortfall Financial results versus consensus	↓ Modest revision lower Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Key Takeaways

- Revenue of W3.4tn (+16% y/y) was in-line with consensus but OP of W520bn (flat y/y) missed by 8% with operating margins down to 15%
- Ads growth decelerated to 7% y/y, while Service maintained strong momentum, up 31% y/y; SmartStore GMV accelerated to +16% y/y, Naver Plus Store app +35% y/y.
- AI Tab reached 10mn MAU; click-thru rates and conversion for ads on AI Tab and AI Briefing all showed encouraging trends
- The company has already secured 200MW of data center capacity by 2028; management is targeting high-teens profit margins when fully ramped up

Increasing cost of investment evident in margins: Operating margins declined another 130 basis points to 15.4% this quarter due to higher marketing spend relating to Pay/Webtoons, and promotions to migrate sellers to N delivery. Higher GPU costs were temporarily relieved as the depreciable life of computing assets was extended. Naver's "investment for growth" is likely to continue in 2H26, which we see keeping margins on a downtrend.

Clearer view on AI Factory structure but economics remain a key question:

Management reiterated the near-term target of acquiring 200MW of data center capacity for its AI Factory (AIF). AIF will service customers and providing tokens and have multiple SPVs operating DCs and generating tokens. Brookfield will be a major investor in these SPVs and Naver if required would take minority stakes. This structure (AIF 100% owned Naver) would allow Naver to fully consolidate the token revenues with minimal capital outlay. That said, the shared economics with SPVs (likely minimum IRR) leads to the question of what sustainable profit margins management could be. Management cited up to 20% margins, which appears debatable to us.

MORGAN STANLEY & CO. INTERNATIONAL PLC, SEOUL BRANCH+

Seyon Park

Equity Analyst

Seyon.Park@morganstanley.com

+82 2 399-4936

Sohyun Park

Equity Analyst

Sohyun.Park@morganstanley.com

+82 2 399-4872

Asia Summer School 2026

Naver Corp (035420.KS, 035420 KP)

S. Korea Telecoms & Internet | S. Korea

Stock Rating	Equal-weight
Industry View	In-Line
Price target	W270,000
Up/downside to price target (%)	19
Shr price, close (Aug 6, 2026)	W226,000
52-Week Range	W304,000-181,100
Sh out, dil, curr (mn)	158
Mkt cap, curr (bn)	W35,807
EV, curr (bn)	W14,439
Avg daily trading value (bn)	W340

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (W)**	12,811	13,725	14,721	15,897
Prior EPS (W)**	-	-	-	-
EPS (W)§	13,436	12,247	14,792	16,769
Revenue, net (W bn)	12,035	13,881	15,338	16,684
EBITDA (W bn)	2,764	3,196	3,676	4,141
ModelWare net inc (W bn)	1,953	2,093	2,244	2,424
P/E	18.9	16.5	15.4	14.2
P/BV	1.3	1.2	1.1	1.0
RNOA (%)	28.5	27.9	25.9	24.7
ROE (%)	7.7	7.6	7.6	7.6
EV/EBITDA	5.6	4.2	3.3	2.5
Div yld (%)	0.5	1.2	0.8	1.0
FCF yld ratio (%)	5.7	2.2	2.9	3.7
Leverage (EOP) (%)	(19.3)	(19.7)	(21.0)	(22.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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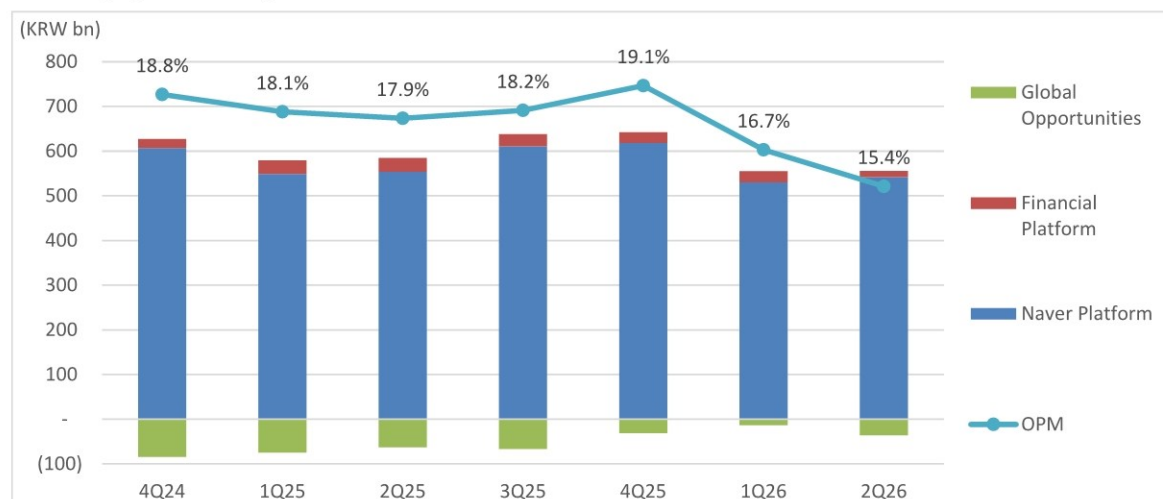
2Q26 Earnings Review

Exhibit 1: Earnings snapshot – OP missed consensus by 8% as higher marketing and partner fees dragged down profitability

KRW bn	Actual					MS estimate		Consensus estimate	
	2Q25	1Q26	2Q26	QoQ	YoY	2Q26	vs. MS	2Q26	vs. Cons
Revenue	2,915	3,241	3,389	4.6%	16.3%	3,241	4.6%	3,371	0.5%
Naver Platform	1,693	1,840	1,902	3.4%	12.3%	1,935	-1.7%		
Ads	1,347	1,394	1,447	3.8%	7.5%	1,470	-1.6%		
Services	347	445	455	2.2%	31.3%	465	-2.2%		
Financial Platform	406	460	471	2.4%	16.1%	475	-0.9%		
Global Opportunities	816	942	1,016	7.9%	24.4%	1,015	0.1%		
C2C	228	351	398	13.3%	74.9%	380	0.05		
Contents	462	440	464	5.5%	0.5%	475	-2.3%		
Enterprise	127	150	154	2.1%	21.3%	160	-3.9%		
Operating expense	2,394	2,699	2,868	6.3%	19.8%	2,659	7.9%	2,805	2.3%
Development & operations	683	749	787	5.1%	15.2%	771	2.1%		
Labor	583	650	672	3.5%	15.2%	665	1.1%		
Other	100	99	115	15.7%	14.9%	106	8.2%		
Partner	1,030	1,188	1,257	5.8%	22.0%	1,247	0.8%		
Infrastructure	198	251	220	-12.3%	11.2%	277	-20.6%		
Marketing	482	512	605	18.2%	25.4%	548	10.4%		
Operating profit	522	542	520	-3.9%	-0.2%	582	-10.5%	566	-8.1%
OPM %	17.9%	16.7%	15.4%			17.9%		16.8%	
Net profit to shareholders	489	285	714	150.4%	46.2%	573	24.6%	472	51.5%

Source: Company data, Factset consensus estimates, Morgan Stanley Research estimates.

Exhibit 2: Operating profit by segment: Operating margin fell to 15.4%, on higher labor cost, and increased marketing spend relating to Commerce



Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Naver Corp (035420.KS)

Base case, sum-of-the-parts.

- Core operations: Target P/E multiple of 18x to 2026 Naver core NOPLAT estimate.
- Naver Financial: 3.5x P/B to account for the payment and financial business.
- Webtoons: Market value net of 30% holdco discount.
- A-Holdings: Market value net of 50% holdco discount to reflect limited synergies between the businesses.

Risks to Upside

- AI drives new revenue opportunities and/or higher growth for existing services (ads, commerce, etc.).
- Commerce sees sustained market share gain from Coupang.
- Meaningful sales contracts relating to AI factory is announced

Risks to Downside

- Disruption from AI drives slower ad growth.
- Faster-than-expected normalization of Coupang leads to slowing membership gains.
- Higher capex/opex coming from AI investments.

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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INDUSTRY COVERAGE: S. Korea Telecoms & Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/07/2026)
Seyon Park		
Coupang Inc (CPNG.N)	O (06/29/2022)	US\$16.35
Kakao Corp (035720.KS)	O (02/27/2025)	₩39,900
Krafton Inc (259960.KS)	O (07/10/2026)	₩241,500
KT Corp (030200.KS)	E (02/24/2026)	₩53,300
LG Uplus Corp (032640.KS)	O (01/13/2026)	₩14,960
Naver Corp (035420.KS)	E (04/19/2024)	₩210,000
NC Corporation (036570.KS)	O (10/25/2024)	₩248,500
SK Telecom Co Ltd (017670.KS)	E (07/28/2025)	₩88,200
Sohyun Park		
DoubleU Games Co Ltd (192080.KS)	E (07/10/2026)	₩62,300
Netmarble Games Corp (251270.KS)	E (05/14/2026)	₩40,900
Pearl Abyss Corp (263750.KQ)	U (09/01/2025)	₩35,600

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.